Personal Loan Policy (effective 1 April 2026)

1. Purpose and scope

This policy describes how Sahyadri Digital Bank offers unsecured personal loans to individual customers. It applies to all personal loans sanctioned on or after 1 April 2026 and replaces the Personal Loan Policy 2024 for all new loans. Loans sanctioned before 1 April 2026 continue to follow the terms in their original loan agreement.

A personal loan may be used for any legitimate personal purpose such as education, medical expenses, travel, a wedding or home improvement. It may not be used for speculation, investment in shares or crypto assets, or any unlawful activity.

2. Eligibility

Salaried applicants must be between 21 and 60 years of age at the time of application and must have worked for at least one year in total, including at least six months with the current employer. The minimum net monthly income is Rs 25,000 for applicants in metro cities and Rs 20,000 elsewhere.

Self-employed applicants must be between 25 and 65 years of age, must have run the same business for at least three years, and must show a minimum annual income of Rs 4 lakh in their latest Income Tax Return.

All applicants need a credit score of at least 700. Applicants with a score between 650 and 699 may be considered with a co-applicant or a lower loan amount, at the discretion of the credit team.

3. Loan amount and tenure

The loan amount ranges from Rs 50,000 to Rs 25 lakh. The maximum amount for an applicant is limited so that all EMIs, including existing loans, do not exceed 50% of the net monthly income. Tenure ranges from 12 to 60 months.

4. Interest rates

Interest rates are fixed for the full tenure and depend on the applicant's credit score. The rate is shown in the sanction letter before the customer accepts the loan.

Credit score	Interest rate (per year)
780 and above	10.5%
740 to 779	11.75%
700 to 739	13.5%
650 to 699 (with co-applicant)	15.5%

Existing customers with a salary account at Sahyadri Digital Bank for at least 12 months receive a discount of 0.25% on the applicable rate.

5. Fees and charges

All fees below are exclusive of GST at 18%.

Charge	Amount
Processing fee	1.5% of the loan amount, minimum Rs 2,000
Part-prepayment	Free after 6 EMIs have been paid
Foreclosure (full prepayment)	2% of the outstanding principal; not allowed before 6 EMIs
Late payment fee	Rs 500 per missed EMI
Penal charge on overdue amount	2% per month on the overdue EMI amount
Cheque or mandate bounce	Rs 450 per instance
Duplicate statement	Rs 100 per copy (free in the app)

Foreclosure is not allowed in the first six months of the loan. After six EMIs the customer may close the loan at any time by paying the outstanding principal, interest up to the date of closure, and the foreclosure charge.

6. Documents required

Salaried applicants: PAN card, Aadhaar, salary slips for the last 3 months, and bank statements for the last 6 months. Self-employed applicants: PAN card, Aadhaar, Income Tax Returns for the last 2 years with computation of income, business proof such as GST registration, and bank statements for the last 12 months.

Pre-approved customers who see an offer in the app do not need to upload income documents. The offer is based on their relationship with the bank.

7. Approval and disbursement

Pre-approved loans are disbursed to the customer's Sahyadri account within minutes of accepting the offer. Other applications are decided within 3 working days of receiving complete documents. If an application is rejected, the customer is informed of the main reason in writing.

8. Missed payments

If an EMI is not paid on the due date, the late payment fee and penal charge apply, and the bank reports the delay to credit bureaus. After 90 days of non-payment the account is classified as a non-performing asset and recovery action may begin. Customers facing temporary financial difficulty should contact the bank before the due date to discuss a revised repayment schedule.

9. Insurance

Loan protection insurance is optional. The bank will not make it a condition for sanctioning a loan. If the customer chooses it, the premium is shown separately and can be paid upfront or added to the loan amount.